

The Insurance Market

In common parlance, market is usually defined as a place where commodities are bought and sold at retail or wholesale prices. In Economics however, the term market refers to an arrangement whereby buyers and sellers come in close contact with each other directly or indirectly to sell and buy goods. The insurance market is a crucial component of the financial system, providing mechanisms for risk transfer, resource mobilization, and financial intermediation. It consists of various products, participants and operational practices that facilitate the pooling and redistribution of risk.

Main Segments of the Insurance Market

Life Insurance Market

Covers life-related risks such as death, survival, and annuities.

Common products include term life, whole life, endowment, and pension plans.

Non-Life (General) Insurance Market

Products include motor insurance, fire, marine, personal accident, and health insurance.

Components of the Insurance Market

The Insurance market comprises of:

- a) The buyers,
- b) The sellers
- c) The intermediaries who mediate between the two parties and are rewarded for their efforts by the seller, and
- d) The insurance ancillary service providers.

Insurance Buyers

The buyers in the insurance market are the general public, traders, exporters, importers, industrial and commercial organizations, clubs, associations, hospitals, schools, etc. In the UK and other developed countries, the buyers are made up of the following:

- (i) The commerce and industry
- (ii) The public, and
- (iii) The government.

The Commerce and Industry

This group is the largest buyers of insurance service products. They are business buyers, and their level of insurance demand is a function of economic growth and development. As the economy grows, organizations tend to adopt a more capital intensive method of production, therefore firms will demand for more insurance protection in the form of commercial general insurance covers which will include those purchasing insurance to cover factories, complexes, plant and machinery, construction and erection of infrastructure or public housing and amenities,

transportation, manual and non-manual employees (both local and foreign), staff members travelling overseas, liability from business operations, and many others.

The Public

The demand by the general public, i.e, the individuals, households, clubs, society, etc. for insurance services products will depend on their financial capability. As a person's disposable income and wealth increases, so does the person needs and purchasing power to buy financial security provided by insurance. For instance, a wealthy individual tends to have more cars, houses and other properties and thus needs more insurance. The insurance covers that are purchased by individuals will likely be personal general insurance, such as those insuring their property, motor vehicles, household buildings and contents, and their lives against accidents, disabilities and critical illnesses.

The Government

The government is also a large purchaser of insurance services. Government agencies and ministries do buy insurance for the benefit of their employees and for financial compensation of their damaged property as well as the liability that could be incurred in carrying out their operation. Government can also influence the purchase of insurance through compulsory insurance requirements, taxation and law relating to the compensation of injury, damage and pollution.

Insurance Sellers

The sellers of insurance are made up of the following:

- a) Insurance companies
- b) Lloyd's of London,
- c) Captive insurance,
- d) Self-insurance,
- e) Reinsurance

Insurance companies

Insurance companies operating in the market can be classified either by ownership or by the nature of business they transact.

Classification by ownership

Proprietary Companies: Proprietary companies are owned by shareholders who appoint directors to run them on their behalf. Profits, if any, belong to the shareholders. The liability of the shareholders is limited to the nominal value of their shares. If a company is unable to meet its financial obligations, it will go into liquidation. The majority of the insurance companies in Nigeria belong to this category.

Mutual companies: They are theoretically nonprofit corporations. The owners are the policyholders insured by the corporation and there are no stockholders. Thus, each policyholder has a single voting right in the election of the board of directors and receives the benefits of favorable operating results. Unlike dividends from proprietary companies, the dividend pay to the policyholder represents the return on a policy (or the return of the premium) and is not considered as income. Most of the mutual insurance companies are operating under an "advance premium system," that is policyholders pay their premiums at the beginning of the period of coverage and become eligible for a dividend when the insurance period ends. Unlike stock companies, mutual companies cannot externally generate the capital necessary to expand their business. Given this and other restrictions, mutual companies are increasingly searching for other sources of capital by forming a downstream holding company, selling products through another insurer or, creating a joint venture company.

Cooperative insurance companies: They are corporations organized like mutual companies for the benefit of their policyholders. However, differences are related to the adherence to co-operative principles and the company can be formed as a stock company, mutual or any other form allowed by the laws of the country concerned. If organized as a stock company, control of the cooperative insurance company is directly vested in other branches of the co-operative movement. Cooperative insurance companies have as an important characteristic the fact that they are linked to democratic, progressive movements including cooperatives operating in other fields and labour unions.

State-owned Companies: In many countries, the government also acts as an insurer. This may be because insurance is a nationalized industry or where that government has declared a certain types of insurance compulsory (for instance third party motor insurance) and then insures that class of business. State owned companies are organization established by the government to transact insurance businesses. In Nigeria, the National Insurance Corporation of Nigeria(NICON) which was established by Decree No.22 of 1969, and Nigeria Reinsurance(Nigeria-Re) established by Act No. 49 of 1997.

Classification by nature of business transacted

Here, the insurance companies are categorized by the class of insurance business being transacted.

Specialist Companies: Specialist companies are those companies that specialize in one class of insurance only. In Nigeria, the Nigerian Agricultural Insurance Corporation(NAIC) only transact Agricultural insurance business, Some insurance companies also transact only life insurance business or general insurance business.

Composite Companies: Composite companies underwrite several classes of business, that is both life and nonlife classes of insurance. A large number of insurance companies in Nigeria fall into this category.

Lloyd's Associations

The world's best known insurer is not an insurance company but an association of individuals (underwriters) organized to provide insurance coverage. Lloyd's of London comprises more than 32,000 members, called "Names," am regrouped into more than 400 syndicates. The principal participants in the Lloyd's insurance market are the brokers who bring in the business, the active underwriters who price it and write it, the underwriting agents who manage the underwriters and get together the Names to back the syndicates, and finally the Names who technically provide the capacity to Lloyd's.

The operations at Lloyd's of London have evolved since 1688 when Edward Lloyd opened the Lloyd's Coffee House. It was incorporated by Act of Parliament in 1871 as the Corporation of Lloyd's. Further acts in 1888, 1911, 1925 and 1952 updated the founding statutes but the most important change was the new Lloyd's Act, passed by Parliament on July 1982 and establishing a totally new management regime for the society. Lloyd's Associations in the United States patterned their operations after those of Lloyd's of London but the number of members is very small and they do not enjoy the reputation for financial security that is attributed to Lloyd's of London.

It is a feature of Lloyd's that it do not deal directly with the public, it only accept business from Lloyd's brokers (insurance brokers who have been approved by the council of Lloyd's) and only Lloyd's brokers are permitted on the Lloyd's trading floor (known as the room).

Captives Insurance

These companies are subsidiaries formed by parent companies to underwrite some of their insurance risks, their incentive being that of paying low premiums and keeping the funds within the group for additional investment incomes. This is usually done by very big non-insurance companies with multinational operations that would mean high cash flows in premiums. Many of today's major insurance companies have similar origins.

Captive insurance have the following advantages:

- (a) Parents companies through the captives obtain cheaper and more flexible reinsurance.
- (b) Captive provides insurance cover that may not be easily obtainable elsewhere.

Self-insurance

As an alternative to insurance or in addition to it, some big companies set funds aside to meet certain insurable losses. Such organizations may opt for self-insurance if they feel they are strong enough financially, if they feel self-insurance is cheaper than commercial insurance, or where the market does not cater for its special needs.

In order to be operational, a self-insurance program should possess these three characteristics.

- (a) The organization must be big enough to make the losses predictable.
- (b) The plan must be financially dependable.
- (c) The exposure units should be widely distributed geographically in such a manner as to prevent a catastrophe wiping out the fund.

Self-insurance schemes have the following advantages and disadvantages:

Advantages

- a) Premiums (which may be substantial as a large organization) are retained
- b) The organization will not be penalized by higher premium as a result of adverse claim
- c) Insurance funds also qualify for tax relief
- d) A direct incentive is given to care and safety
- e) There is no possible disagreement when claims arise

Disadvantages

- a) In times of difficulty there may be a temptation to borrow from the fund.
- b) A catastrophe may occur and wipe out the whole scheme.
- c) Funds are kept in a short-term easily convertible form, which earns little interest.
- d) They may be criticized by shareholders because it reduces their profits.

Reinsurance Companies

The purpose of insurance is to transfer risk from the public to the insurer. Sometimes an insurer finds the risk too big for its own underwriting capacity and therefore seeks cover for the excess amount of risk. If an insurer insures part of the risk it has assumed, this is called reinsurance. Continental Reinsurance (Continental-Re) and Nigeria Reinsurance (Nigeria-Re) are the two reinsurance companies in Nigeria.

Reinsurance can be bought from national, regional reinsurers and multinational reinsurance companies like Munich Re, Swiss Re, and Hannover Re.

Insurance Intermediaries

Insurance is a technical services that only people with specialized skills can conveniently negotiate and buy, thus insurance buyers often use intermediaries to carry out its insurance purchase. The intermediary is a middleman whose role is to bring buyers and sellers together into a contractual relationship. He receives payment in the form of commission deducted from the premium that is payable to the insurer. Although insurers pay the commission and it is with insurers that he may have a long term professional relationship, it is the insured who is the client and the insured for whom the intermediary is acting. One of the problems when considering the intermediary sector of the market is its fragmentation, with a variety of people doing the role and many with different titles, although they may be effectively doing the same thing. For instance intermediaries may call themselves such titles as Brokers, consultants, agent or advisers. Because of this fragmentation, some countries have tried to regulate this sector by using legislation to control who may use certain titles or who may perform certain function. In Nigeria, the insurance act of 2003 regulates the activities of intermediaries.

Insurance intermediaries include:

- (i) Lloyd's brokers

- (ii) Insurance brokers
- (iii) Agents
- (iv) consultants and
- (v) Home service representative

Lloyd's brokers

Lloyd's brokers are accredited insurance brokers who are allowed to place business in 'The Room' at Lloyd's. 'The Room' is the place where the underwriting members stay to transact insurance business. A Lloyd's broker may be a one man business, partnership or a limited liability company. At Lloyd's the insurance broker always acts as an agent of the insured and not of the underwriter. As such, all material facts of the proposed risk are assumed to be known to the broker and he must communicate all such information to the underwriter. Premiums are paid and claims are settled through the brokers, but where the broker becomes insolvent, the underwriter is entitled to look for the insured for the payment of the premium even though the insured has previously paid to the broker. The broker issues the insured a cover note once the contract has been signed pending the issue of a policy at Lloyd's, he also sends him a debit note for the payment of the premium.

Insurance Brokers

Insurance brokers are specialists in the field of insurance. They act on behalf of the buyer or the insured. They are the most important form of insurance intermediary. In Britain, an insurance intermediary cannot qualify as a broker unless he has registered with the Insurance Brokers Registration Council and has to meet certain requirements before registration.

In Nigeria, to be a qualified insurance broker, one has to be registered by the national insurance commission under decree No. 2 of 1997. Section 36 of that decree states the requirement for registration as an insurance broker. An insurance broker is expected to exhibit a high standard of professional skills and conduct, he is also expected to seek the best insurance contract terms possible for his clients. Failure to maintain such standard will make the broker liable in damages to the insured. Though insurance brokers are agents to the insured, they are not paid by the insured, but by the insurer who pays them commission (called brokerage) based on a percentage of the premium.

Insurance Agent

An insurance agent is either a full time sales person representing a single insurance company or a part time insurance salesman who has other business interest that provides an opportunity to sell insurance. Insurance agents are mostly found among bank managers, solicitors, accountants, estate agents, etc. Agents are remunerated by the insurer on a commission basis, and their commission is usually smaller than that of a broker.

Difference between Agents and Brokers

Agents	Brokers
They are not full-time insurance professional	They are full-time insurance professional
They are not experts in insurance	They profess to be insurance technical expert
They are agents to the insurer	They are agents to the insured
They cannot be sued for professional negligence	They can be sued for professional negligence
They sometimes have limited power to issue cover note.	Brokers have wide powers, they can issue cover note.

Consultants

They are full time insurance intermediaries who are not registered as insurance brokers. Consultants could be an expert in insurance or in a related field. For instance, risk analyst, pension scheme planners and assignee, loss adjuster are all consultants. In Nigeria, loss adjuster are registered by the National Insurance Commission

Home Services Representatives

They are insurance intermediaries who are employees of the insurance companies. They are mostly found with life underwriting offices which underwrite industrial life/ordinary life assurance policies.

The insurance ancillary service providers

These are persons or companies that provide various types of services to the insurance industry.

The Surveyor

The surveyor assesses the extent of the risk to which the insurance company is exposed and gives advice on the extent of the risk exposure and risk improvement measures. Ideally, a surveyor should be consulted at the planning stage of a project since the main work of the surveyor is to give advice before the commencement of risk. A surveyor may be needed in almost all classes of insurance but is mostly used in fire and burglary insurance.

An Actuary

An actuary is a financial engineer, who, through the application of mathematical skills, uses past experience to predict the likely outcome of future events. At the same time, in addition to calculating premiums, the actuary is involved in valuing assets and liabilities of life assurance companies after a period specified in the Insurance Act with a view of determining whether the assets will be sufficient to pay off the liabilities of a company. In pension schemes, the actuary will determine the benefits payable to individual pensioners and the cost of joint pension schemes. This said, actuarial science is a highly complex mathematical discipline. In computing the life premium, the actuary will take into account:

- Mortality, which is a method of expressing the probabilities of living or dying at any given age;
- Expenses and loading for profits;

- Interest paid to an insured for an insurer's use of the insured's money before a claim matures; and reserves representing pre-payment of future premiums.

Risk Manager

Risk managers deal with identification of risks, analysis of risk (measurement), and control of risk, which may take the form of reduction, avoidance, insurance and transfer to a third party. Risk managers will majorly be employed by manufacturing company or in financial service companies to mitigate loss through setting up robust risk management systems.

Practice of Insurance Market

The practice of insurance involves the operational processes and professional standards used to deliver insurance services effectively. They includes:

Underwriting: Underwriting is the process by which insurers assess, evaluate, and decide whether to accept or reject a risk. It involves determining the terms, conditions, and premium rates for insurance coverage based on the level of risk presented by the applicant.

Risk Pooling: Risk pooling refers to the fundamental insurance principle of combining numerous individual risks into a single group (pool) to make losses more predictable and manageable. Premiums from many policyholders are collected to create a fund used to pay claims of the few who suffer covered losses. This mechanism helps spread risk and reduce the financial burden on any single member.

Claims Handling: Claims handling is the process insurers follow when a policyholder submits a claim for compensation after a loss. It includes claim reporting, investigation, verification of coverage, evaluation of damage or loss, and settlement. Efficient and fair claims handling is critical for maintaining customer trust and legal compliance.

Product Development: Product development in insurance involves designing and launching new insurance policies or revising existing ones to meet market demands, regulatory changes, and emerging risks. It requires actuarial analysis, market research, and legal review to ensure the products are competitive, profitable, and compliant.

Premium Collection and Investment: This function involves collecting premiums from policyholders and managing the funds. Insurers invest the collected premiums in various financial instruments (e.g., bonds, equities, real estate) to generate additional income. Investment income is a key contributor to overall profitability, especially when underwriting margins are tight.

Customer Service: Customer service encompasses all interactions with policyholders across the policy lifecycle—from inquiries and policy issuance to renewals, complaints handling, and claims support. High-quality customer service enhances customer satisfaction, retention, and brand reputation, contributing to long-term business success.